GMS WEEKLY

Your Source for Recycling News

August 25th, 2023
Volume 252, Issue 1097
Week 34

Highlights:

- **Difficult.**
- **India beacon.**
- **Hold on.**
- **Containers coming.**
- **More productive.**
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QUOTE of the WEEK

"Success usually comes to those who are too busy looking for it."

– Henry David Thoreau

MARKET COMMENTARY

BETTER DAYS…?

The ongoing complications experienced in the Indian sub-continent ship recycling markets have shown few signs of dissipating this week, with a sudden increase in the unrelenting non-existent supply of vessels and sparse L/C / financing approvals in Bangladesh and Pakistan, which has seen market pricing that is reaching new lows with each concurrent sale into the sub-continent destinations.

Notwithstanding, despite being moderately placed in the market rankings, India remains a beacon of hope amidst a dire 2023 recycling landscape, especially as a number of impressive deals were concluded here this week, perhaps suggesting that better days may well lie ahead for this market.

It is also reaching a point where various Owners and Cash Buyers are choosing to hold on to their unsold tonnage, rather than committing their units at these unexpected new lows of today that are consistently below USD 500/LT LDT – so unexpected have been the level of falls from over USD 600/LT LDT seen earlier this year.

As such, only after various Cash Buyers have disposed of their inventory and a period of calm and stability has been witnessed across the sub-continent markets, may we start to look upwards, especially after all these months of negativity. Particularly, once the constant rains come to a halt, may we see production restart and the backlog of material at the yards starts to shift again.

On the far-end, Turkey remains quiet as ever, with virtually no movement reported over recent weeks.

Overall, following the glut of dry bulk sales over the summer months, it has overall been an odd mix in the supply of vessels as container units have started to re-emerge once again, especially as rates across these two sectors struggle to post any significant profit above running costs. As such, if prices do begin to pick up from these current lows and financing / LC issues start to ease up in both Pakistan and Bangladesh, we may hopefully expect a busier fourth quarter, in addition to some more urgency / aggression to the present lethargy being witnessed.

For week 34 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Weak	500 / LDT	520 / LDT	540 / LDT
2	India	Weak	490 / LDT	510 / LDT	530 / LDT
3	Bangladesh*	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

BUSY-CALM!

Relative calm.

After a frantic month passed, with Cash Buyers dumping various vessels (mostly from Chinese owners) into the recycling markets at ever decreasing prices, a relatively unexpected period of a busy-calm appears to have descended across the ship-recycling sector in Chattogram.

Many of the Local Buyers with ready and capable L/Cs are likely unavailable anymore, as units have been concluded (and even beached locally) to these Buyers as evidenced by Bangladesh's port position this week.

Larger LDT struggles.

Accordingly, it is expected to be a waiting game to see when and where business resumes post-monsoon, before steel plate starts to shift again.

Some of the levels being quoted by various End Buyers are certainly well below current market offerings, and it would not be a surprise to see tonnage head to competing shores as a result of, especially towards a far more capable (in financial terms) Indian market, where L/Cs have not been an issue.

Certainly, larger LDT units approaching 20K LDT (Capes and Panamax containers) have been struggling to get bank / L/C approvals prior to heading towards Bangladeshi shores, as the last Capesize Bulker proposed here recently went to a far more solvent Indian market where levels remain below USD 500/LT LDT for such a unit.

On the local fundamentals front, after breaching a record BDT 109.40 against the U.S. Dollar this week, the Taka relaxed back closer to BDT 109 levels as local steel plate prices continue to flatline amidst this unexpectedly busy phase.

Certainly a confusing end to the Monsoon month in Bangladesh.

NO MARKET SALES REPORTED

INDIA

LIFT OFF!

This week, India became the first country to land a space craft at the south pole of the moon as the Chandrayaan-3 lunar rover made history for our humanity, creating euphoric and celebratory scenes across the world.

Euphoric scenes.

Meanwhile, the ship recycling community in Alang seemed to be cashing in on the euphoria as several sales at seemingly unthinkable levels were committed for an India re-delivery.

Several sales.

Firstly, bulk carrier GLORIA 1 (11,259 LDT) was fixed for a decent USD 517/LT LDT (although there could be a Pakistan or Bangladesh option in this deal if buyers with L/C and financing abilities can be located there).

Subsequently, two standard Japanese built Laskarides owned reefers, the FRIO OLYMPIC (4,698 LDT with 161 Tons of cement permanent ballast to be deducted) and the ZEFYROS REEFER (4,731 LDT) were both committed on an en bloc basis for a firm USD 510/LT LDT to one particularly frisky Buyer who is perhaps banking on a firmer resale in the near future.

Fundamentals, however, as shaky as they have been, suggest they may undermine this move as even though the Rupee firmed from over Rs. 83.X to Rs. 82.5X as the week ended, the volatility of local steel plate prices represents the ongoing unpredictably and vessel pricing in this market, especially as the monsoons remain in full swing.

The only silver-lining remains the possibility of the markets firming in Q4 (based on historical performances) and levels continue to float in the USD 500/Ton range.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
FRIO OLYMPIC	Reefer	4,698	USD 510/LT LDT (En Bloc Sale)
GLORIA 1	Bulker	11,259	USD 517/LT LDT
ZEFYROS REEFER	Reefer	4,731	USD 510/LT LDT (En Bloc Sale)

PAKISTAN

BUYERS BOOKED!

Two LCs.

As far as good news goes and after almost a year on the sidelines, not one but two L/Cs have reportedly been approved into Gadani, as the Pakistani ship recycling sector seeks to get back on its feet.

The economic, financial, and political instability that has besieged the country in an unexpected three-prong attack over the course of last year, has led to a whipping pause in ship recycling activities, as the Pakistani Rupee depreciated alarmingly on a daily basis, wiping out much of its value in the process.

Slowly slowly.

In fact, despite all of the financial aid packages (in the billions) being provided to the country, seems to have whittled away as the Pakistani Rupee plunge briefly past PKR 300, only to settle pennies shy of as the week ended. Local steel plate prices too remain dead as a door nail, having flatlined for much of the year.

Notwithstanding, recycling activity appears to be slowly resuming and the first few L/Cs have been approved and financially executed, hopefully more will follow as demand has been building steadily in the country, especially as not a single vessel has been beached into Gadani since January.

NO MARKET SALES REPORTED

TURKEY

SILENCE!

After collapsing and sailing through much of the week at levels over TRY 27.20 against the U.S. Dollar, the Lira stabilized to TRY 26.51 as the week ended, leaving the market in the same state it found itself in.

Puzzled.

Puzzled and silent.

Reportedly, the government has increased interest rates by a whopping 7.5% (up to 25%), which has in turn, firmed the Lira by said amount. We can only hope that this action brings pricing and stability back to this market that needs it the most – especially for EUSRR based recycling.

Suffering through.

Meanwhile, there is no change reported in local steel plate prices as Aliaga suffers through the absence of tonnage, during this most abysmal period for this sector.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *There were 150 glaciers in Montana Glacier National Park in the year 1910 when it was established. Now there are only 25.*
- *If we continue to destroy the forests of the planet, the extensive biodiversity of our planet will decline dramatically.*
- *If the oceans continue to rise, the Great Barrier Reef will slowly disappear, as will some islands and coastal cities.*
- *The increasing change in climate increases the amount of smog in the air, which makes asthma worse.*
- *The reason why gold shines so brightly, even after being buried under the earth, is because very few chemicals found in the earth can attack it.*
- *If all the gold that humans have extracted over the years were put into a cube, the cube would be 25 x 25 x 25 meters. It would weigh eighty-eight thousand tons.*
- *Gold is rarer than diamonds.*
- *The biggest gold nugget that was ever found was found in Australia and weighed 90 kilograms (that's almost 200 pounds!)*
- *Since 2008, China has been the world's largest gold producer. Before China, it was South Africa.*
- *Gold was the most popular investment to ever exists until the stock market came to be.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 31 – Raksha Bandhan September 06 – Janmashtami	August 28 – September 06 September 14 – September 20 September 26 - October 05

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
September 06 – Janmashtami September 28 - Eid-e-Milad-um-Nami	August 30 – September 02 September 14 – September 17 September 08 – October 01

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 29 – Mid-Autumn Festival	September 28 - Eid-e-Milad-um-Nami	August 30 – Victory Day **No Holidays in September**

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ALANG - Port Position as of August 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Maersk Patras	12,400	Container	Arrived August 20
2	*MSC Erminia*	*17,695*	*Container*	*Beached August 19*
3	*MSC Lana II*	*10,811*	*Container*	*Beached August 18*
Total Tonnage		**12,400**		

CHATTOGRAM - Port Position as of August 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Eno*	*10,841*	*Woodchip Carrier*	*Beached August 17*
2	Harin Navee 7	698	General Cargo	Arrived August 23
3	Jen Z	10,784	Bulk Carrier	Arrived August 24
4	*Jil*	*7,548*	*Bulk Carrier*	*Beached August 23*
5	*Kingway No. 2*	*1,795*	*General Cargo*	*Beached August 22*
6	Lucky 3	1,042	General Cargo (Other)	Arrived August 22
7	*Pilatus 28*	*1,030*	*LNG*	*Beached August 19*
8	*PKS1*	*480*	*General Cargo*	*Beached August 18*
9	Sol Hind	7,852	Container	Arrived August 22
10	*Sol Straits*	*7,770*	*Container*	*Beached August 17*
11	*Vladimir Kolechitskiy (Under Tow)*	*6,000*	*Tanker*	*Beached August 19*
12	*Winda*	*5,951*	*Bulk Carrier*	*Beached August 24*
Total Tonnage		**61,791**		

GADANI - Port Position as of August 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
	No new vessels reported.			
Total Tonnage		**-**		

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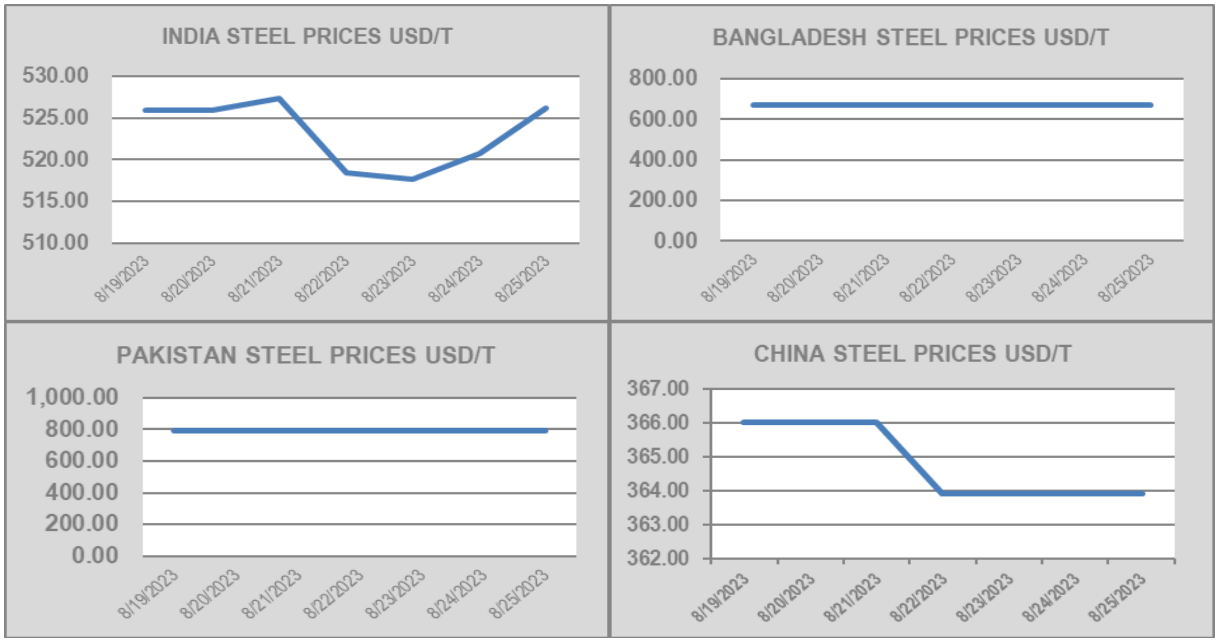
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/19/2023	525.87	43,700.00	794.22	220,000.00	672.81	73,000.00	366.04
8/20/2023	525.87	43,700.00	794.22	220,000.00	672.81	73,000.00	366.04
8/21/2023	527.41	43,300.00	794.22	220,000.00	672.81	73,000.00	366.04
8/22/2023	518.38	43,000.00	794.22	220,000.00	672.81	73,000.00	363.93
8/23/2023	517.66	42,800.00	794.22	220,000.00	672.81	73,000.00	363.93
8/24/2023	520.77	43,000.00	794.22	220,000.00	672.81	73,000.00	363.93
8/25/2023	526.12	43,500.00	794.22	220,000.00	672.81	73,000.00	363.93



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